

3.2.3 Economic performance

3.2.3.1 Economic growth and the economic cycle

Content	Additional information
• The difference between short-run and long-run growth. • The various demand-side and supply-side determinants of short-run growth of real national income and the long-run trend rate of economic growth. • The concept of the economic cycle and the use of a range of economic indicators, such as real GDP, the rate of inflation, unemployment and investment, to identify the various phases of the economic cycle. • The difference between positive and negative output gaps. • How demand-side and supply-side shocks, including those that occur in the global economy, affect domestic economic activity.	Students should be able to use a production possibility curve and AD/AS diagrams to illustrate the distinction between short-run and long-run economic growth. Students should understand that long-run economic growth occurs when the productive capacity of the economy is increasing and is a term used to refer to the trend rate of growth of real national output in an economy over time. Students should understand that a positive output gap occurs when real GDP is above the productive potential of the economy, and a negative output gap occurs when real GDP is below the economy's productive potential.

3.2.3.2 Employment and unemployment

Content	Additional information
• The main UK measures of unemployment, ie the claimant count and the Labour Force Survey measure. • The terms seasonal, frictional, structural and cyclical unemployment. • How employment and unemployment may be determined by both demand-side and supply-side factors. • How changes in the rest of the world affect employment and unemployment in the UK.	Students should appreciate that unemployment has a variety of causes and hence the appropriate policies to reduce unemployment depend on the cause.

3.2.3.3 Inflation and deflation

Content	Additional information
• The concepts of inflation and deflation. • Demand-pull and cost-push influences on the price level. • How changes in world commodity prices affect domestic inflation. • How changes in other economies can affect inflation in the UK.	Students should understand that deflation exists when the price level is falling whereas disinflation is when the rate of inflation is falling. Students should appreciate that deflationary policies are policies to reduce aggregate demand and do not necessarily result in deflation.

3.2.3.4 The balance of payments on current account

Content	Additional information
• The importance of international trade for an economy such as the UK. • The current account comprises trade in goods, trade in services, primary income and secondary income. • The meaning of a deficit and a surplus on current account. • The factors that influence a country's current account balance such as productivity, inflation and the exchange rate and economic activity in other countries.	Students should be aware that the current account is only one part of the balance of payments but knowledge of the other parts of the account is not expected.

3.2.3.5 Possible conflicts between macroeconomic policy objectives

Content	Additional information
• How negative and positive output gaps relate to unemployment and inflationary pressures. • How economic policies may be used to try to reconcile possible policy conflicts both in the short run and the long run.	Students should be able to use macroeconomic models, including the AD/AS model, to analyse the causes of possible conflicts between policy objectives in the short run and long run.